TOPIC 1 · THE GLOBAL ECONOMY

ABC News business live blog
5 November 2026

Oil falls almost 9% as markets bet on an end to the Iran war

> Brent crude had its biggest one-day fall in months after the midterm result. Traders expect a Democratic Congress to push for an earlier end to the US–Israeli war with Iran, which has kept Gulf energy supplies tight all year.

WHAT HAPPENED

- Brent crude fell US$8.98 (8.7%) to US$94.62 a barrel, its lowest since 31 August. US WTI fell 8.3% to US$88.12.
- Gulf crude and fuel exports averaged 17.1 million barrels a day in October, down from 18.9 million in September.
- Stock markets rallied: the Dow rose about 3%, and the ASX 200 closed 2.6% higher at 9,065.
- Spot gold rose to about US$4,135 an ounce.
- Australian energy shares were sold off: Woodside −5.6%, Viva −5.2%, Santos −4.8%, Ampol −3.8%.

Supply shock: a sudden change in the cost or availability of a key input that shifts supply

Price-inelastic demand: quantity demanded changes little when price changes, as with fuel in the short run

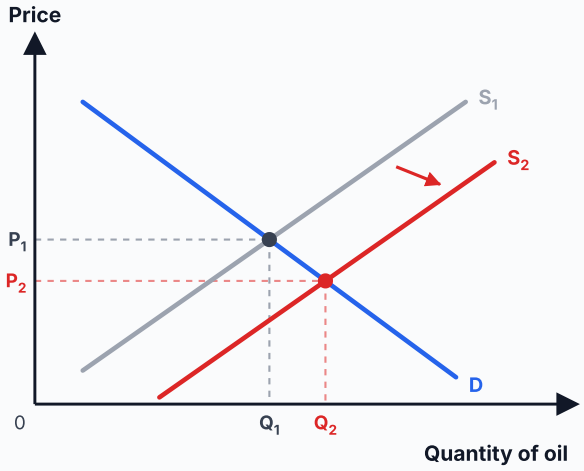
−8.7%
Fall in Brent crude overnight, to US$94.62 a barrel

17.1m
Gulf crude and product exports in October (barrels a day), down from 18.9m

+2.6%
ASX 200 rise on Thursday 5 November

DIAGRAM

Expected supply recovery and the oil price



Markets now expect Gulf supply to recover, so supply shifts from **S_1 to S_2**. Because short-run demand for oil is **price-inelastic**, even a modest supply increase brings a big fall in price, from **P_1 to P_2**, while quantity rises only a little (Q_1 to Q_2).

Prices in financial markets move on **expected** supply, before any extra barrels actually arrive.

Exam angle: For an oil importer like Australia, cheaper oil shifts **SRAS to the right**: lower cost-push inflation and a boost to real incomes. For energy exporters, it means lower export income.

SYLLABUS LINK

Topic 1 – Global supply shocks and commodity prices; Topic 3 – Inflation: cost-push pressures from world energy prices.

TRY THIS

1. Explain how a sustained fall in world oil prices would affect Australia's inflation rate. **(4 marks)**
2. Discuss why lower oil prices could hurt some parts of the Australian economy. **(4 marks)**

Read more: abc.net.au/news/2026-11-05/asx-markets-business-live-news-november-5-2026/107347286

Summary written in our own words for classroom use